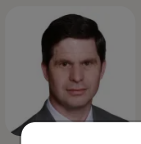
The Bank Board increased interest rates to 4% in a close call, and we see valid arguments for both positions. Second-round effects will push inflation above the upper bound of the target corridor for some time, while dwindling economic activity warrants lots of caution. We see neither hikes nor cuts as the most likely outcome for quite some time



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The Czech National Bank's decision to raise rates on 5 November was a close call

Assessing the impact of Hormuz

The Czech National Bank increased the policy rate by 25bp to 4% in a split vote on 5 November, with Governor Ales Michl and board members Jan Kubicek, Jan Prochazka and Jakub Seidler voting for a hike. Meanwhile, Deputy Governors Eva Zamrazilova and Jan Frait, along with board member Karina Kubelkova, favoured interest rate stability. We assess the current situation and the risks to the outlook as complex and see relevant justification for both options, depending on whether your concerns are more on the side of

second-round inflationary effects or on the side of disappointing economic activity and the consequences for consumption.

The Bank Board assessed overall risks as pro-inflationary. There was an agreement that the secondary impacts of the energy shock have not been significantly reflected in domestic inflation so far. However, as the Hormuz conflict becomes more protracted, the likelihood of tangible second-round effects increases. Jakub Seidler noted that global energy prices have been elevated for too long, so it would be difficult to avoid a pass-through to other segments of consumer prices. Deputy Governor Zamrazilova emphasised that much depends on further developments in the Middle Eastern conflict. Should tensions ease in the near future, a rate hike at the N

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agreed that this is a key factor reducing the need for further tightening for the time being.

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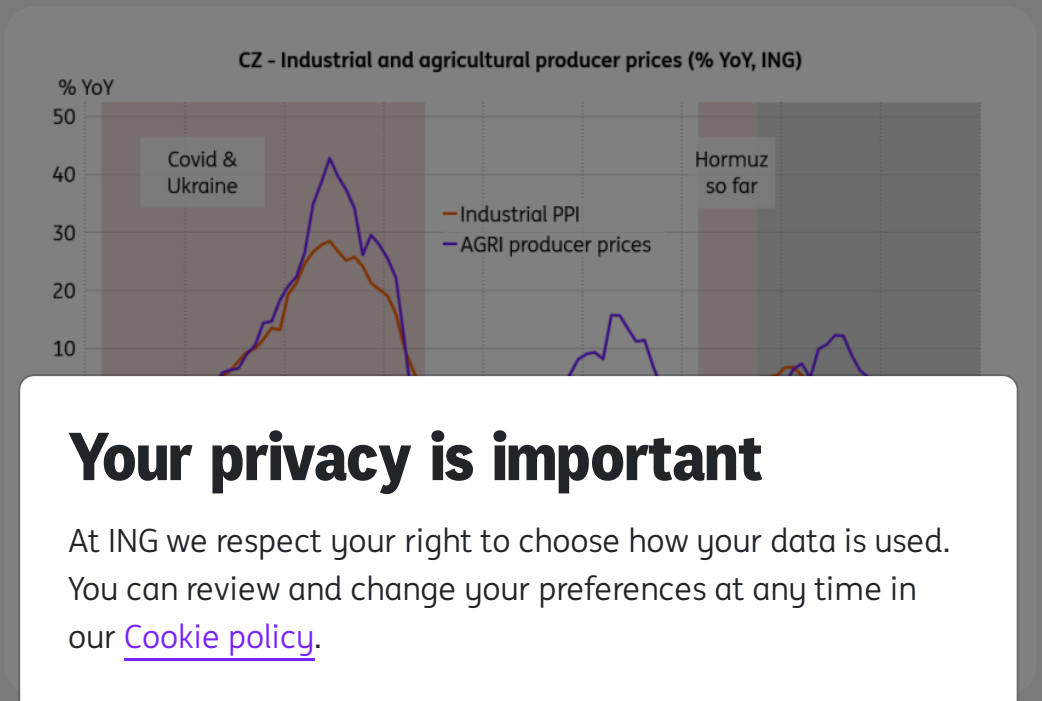
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To rise or not to rise?

However, as Jan Kubicek noted, core inflation is not slowing down as previously assumed and is even slightly increasing. This represents a fundamental concern, especially in combination with the disappointing real growth performance. That said, producer prices have embarked on an upward trend and may put further pressure on the core rate. Jakub Seidler and Karina Kubelkova emphasised that the renewed price increases in the energy and food segment are usually the key drivers when it comes to inflation

expectations, and the first signs of an increase are already visible. And we all know that unanchored inflation expectations are one of the things that keep central bankers awake at night.

Producer prices will drive consumer prices



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We see the arguments in both directions as valid, which made the November decision relatively complex and was reflected in the close vote. Time will tell whether the second-round effects that we believe are just kicking in will prove significant without weighing too heavily on economic activity. Or whether the deteriorating real purchasing power and dwindling real wage growth could lead to weaker household consumption, which would in turn put downward pressure on inflation. Both effects are certainly interconnected, which only underscores the beauty of macroeconomics, and the formidable power of prices to clear the market.

Punchy inflation across price segments

When it comes to our inflation forecast, we definitely see pro-inflationary pressures when looking ahead. We expect annual producer price growth to peak at around 7% in industry early next year and at around 12% in agriculture mid-next year. At the same time, the annual pace of import prices already quickened to above 8% in September. Those are not low growth rates, and all are going to feed into consumer prices sooner or later. At the same time, the koruna continues to weaken against the dollar, making imports pricier. With all that on board, we see the yearly average of inflation picking up from 2.1% this year to 3.2% next, reaching a peak of just below 4% in February.

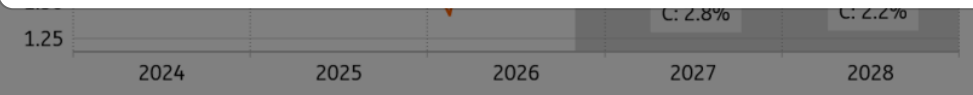
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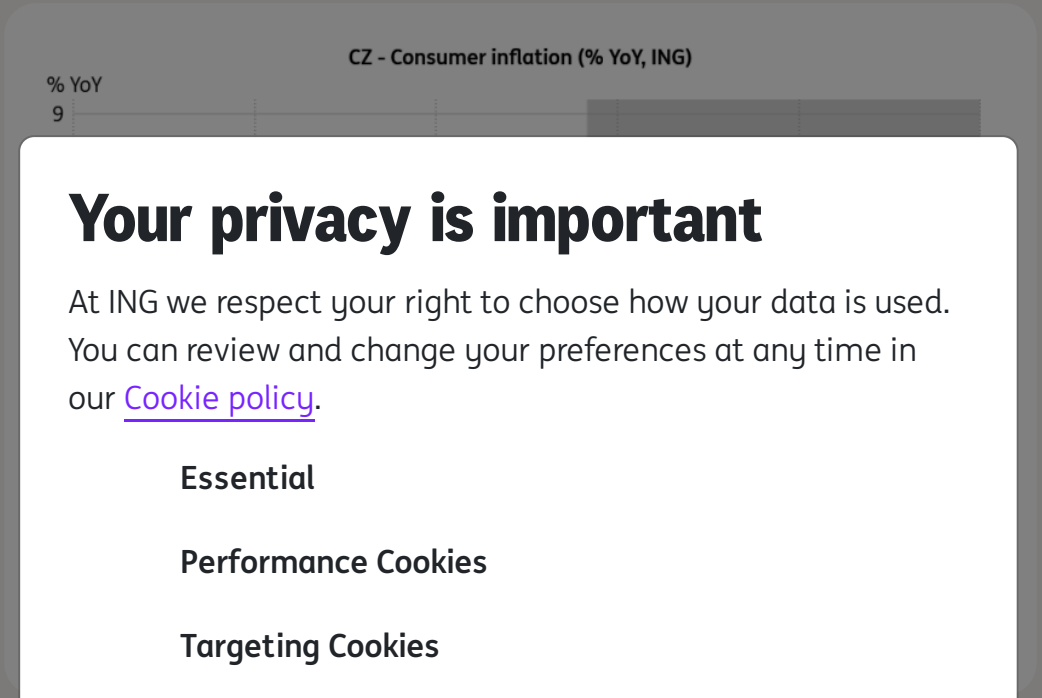


Source: CNB, ING, Macrobond

The most pronounced uncertainty lies with January's gain in regulated prices. We have already collected information from distributors and factor in a 3.5% increase in electricity prices, a 6.5% increase in natural gas prices, an 8% increase in heating prices and a 6% rise in water charges. Nonetheless, not all distributors will apply the same increase and not all households will be affected equally. Based on our best estimate, we expect a 3% monthly increase in regulated prices in January, resulting in a 3.8%

year-on-year gain. However, should global oil and European natural gas prices remain elevated, we expect further increases throughout the year, lifting average regulated price growth to 4.5% next year. This figure is still somewhat below the CNB's 5.6% forecast, which seems to be at the upper bound of what we currently deem plausible.

Regulated and food prices turn pro-inflationary



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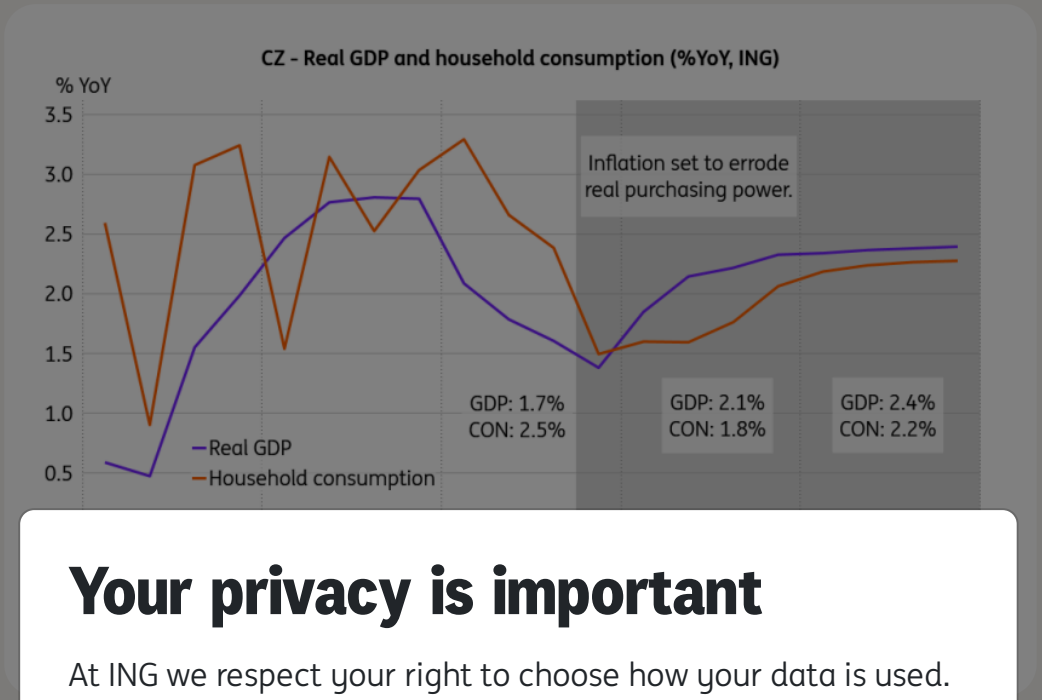
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peaking at around 4%. That said, we sense quite some upward risks here, especially should energy prices stay elevated for longer, which would propel fertiliser prices and transport costs.

Neither hikes nor cuts in the pipeline

When it comes to core inflation, two opposing forces are set for a duel: second-round effects, coupled with rising import prices, against a softening housing market and crumbling real purchasing power. Timing is of the essence. We expect the former to strike first, but the latter to respond without much hesitation. For now, we see the forces as roughly balanced, keeping average core inflation just below 3% next year.

Consumption could slow tangibly along with real wages



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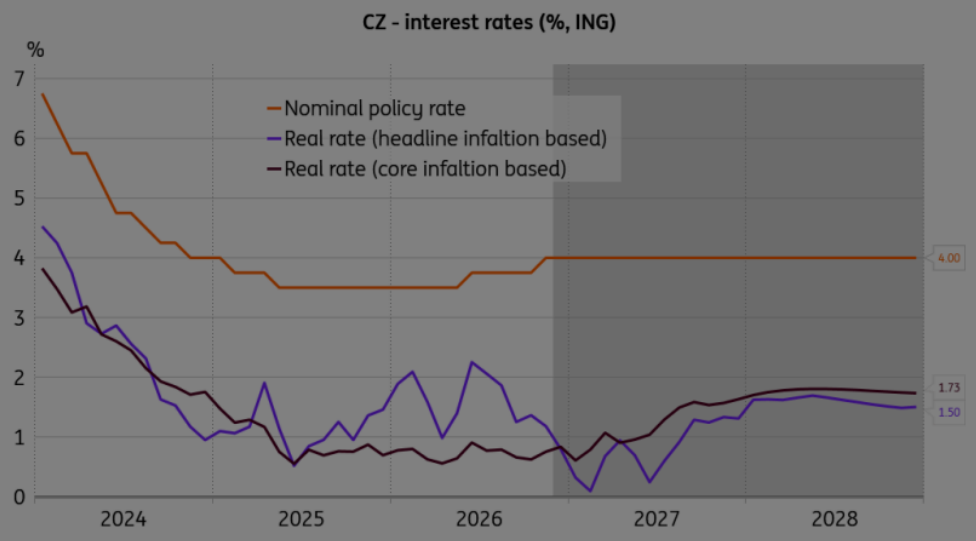
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further hikes nor cuts when looking way ahead, with the 4% policy rate settling in as the new normal.

The 4% rate makes itself at home



Source: CNB, ING, Macrobond

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Regulated prices | Real GDP | Monetary policy

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